

Long stop. Buy the stock soon after it touches the lower trendline and moves higher (after the pattern has fully developed following the identification guidelines). Place a stop-loss order 15 cents below the lowest low (0.15 below point A). Should price drop, your position will likely be sold before a large loss occurs.

Price climbs across the pattern. Be ready to sell once price reaches the prior minor high. Confused? Look at [Figure 11.3](#). On the way to point 5, be prepared to sell as the stock climbs to the price of point 3. Price may pause for a bit before moving higher and tagging the top trendline, or it may reverse at this point (which it does in [Figure 11.3](#), at point 5). Make sure your stops have been raised to protect your profits.

Go short at the top, short stop. For short positions in broadening tops, open the short after price touches point B ([Figure 11.5](#)) and begins heading down. Place a stop 15 cents above the highest high (12.28 in this case) to limit losses. Lower your stop to the next minor high or apex of the broadening top (either 11.88 or 11.13 in [Figure 11.5](#)) once the stock nears point A. Sometimes the stock will not make it down to the trendline before beginning to move up. At other times, there is a lengthy pause before price turns around or continues down. A lower stop-loss point helps you achieve at least some measure of profit.

Partial rise and decline. Partial rises and declines are like deer in mating season when you're driving: Look out for them. See the Glossary ("Partial rise" or "Partial decline") for details on spotting the pesky critters. When you see a partial rise or decline, place a trade once the stock reverses course. If a breakout happens, then consider adding to your position.

Using a partial rise or decline to enter a trade before the breakout is a reliable trading technique. You get in at a better price, and they accurately predict the breakout direction.

Stop location. Use [Table 11.7](#) for guidance on stop placement.

Busted trade. Consult [Table 11.9](#) for tips on trading busted patterns. If you are lucky enough to trade a single busted pattern, you can make a lot of money.